

KEY TAKEAWAYS: RETIREMENT

- Although it seems far away, you need to plan for retirement early. The earlier you start investing for retirement, the easier it will be.
- A 401(k) is a retirement tool sponsored by your employer. If an employer offers you a 401(k), especially with a match, you should participate.
- An IRA is like a 401(k) but it is not sponsored by an employer. You can have an IRA and a 401(k).
- A traditional 401(k) or IRA lowers your taxable income now, but you have to pay taxes on the money when you take it out in retirement; a Roth 401(k) or IRA does not lower your taxable income now, but you do not have to pay taxes on the money when you take it out for retirement.
- If you are unsure how to invest the money in your retirement account, choose an index fund that tracks the market (S&P 500) with a low expense ratio.